



**Quarterly Report
of the Dino Polska S.A. Group
for Q1 2017**

Dino Polska Spółka Akcyjna ("Dino", "Company", "parent entity").

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 March 2017 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("Quarterly Report for Q1 2017") comprises the condensed quarterly consolidated financial statements of the Dino Polska S.A. Group ("Group", "Dino Group"), the Company's condensed financial information and additional information required by the provisions of law.

Unless specified otherwise, the data in this Report comes from the Dino Group. This document was prepared on 23 May 2017 ("Report Date").

Unofficial translation. Only the original Polish text is binding.

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>period from 1 Jan. 2017 to 31 March 2017</i>	<i>period from 1 Jan. 2016 to 31 March 2016</i>	<i>period from 1 Jan. 2017 to 31 March 2017</i>	<i>period from 1 Jan. 2016 to 31 March 2016</i>
Sales revenues	910,335	707,363	212,245	162,392
Operating profit	46,322	38,578	10,800	8,856
Profit before tax	38,005	30,843	8,861	7,081
Net profit	30,455	23,387	7,101	5,369
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	0.31	0.24	0.07	0.05
Cash flow on operating activity	31,046	(5,491)	7,238	(1,261)
Cash flow on investing activity	(82,878)	(84,152)	(19,323)	(19,319)
Cash flow on financing activity	21,829	69,541	5,089	15,965
Increase in the net balance of cash and cash equivalents	(30,003)	(20,102)	(6,995)	(4,615)

*In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

average NBP exchange rate for Q1 2017: 4.2891 PLN / EUR

average NBP exchange rate for Q1 2016: 4.3559 PLN / EUR

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>as at 31 March 2017</i>	<i>as at 31 Dec. 2016</i>	<i>as at 31 March 2017</i>	<i>as at 31 Dec. 2016</i>
Total assets	1,880,103	1,856,840	445,543	419,720
Total non-current assets	1,500,818	1,457,146	355,661	329,373
Total current assets	379,285	399,694	89,882	90,347
Equity	713,962	683,476	169,193	154,493
Share capital	9,804	9,804	2,323	2,216
Non-current liabilities	494,839	459,378	117,266	103,838
Current liabilities	671,302	713,986	159,084	161,389

*In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

average NBP exchange rate as at 31 March 2017 4.2198 PLN / EUR

average NBP exchange rate as at 31 December 2016 4.4240 PLN / EUR

2. OPERATIONS OF THE DINO GROUP

2.1. Business profile

Dino is a leading player in Poland's prospective and growing proximity supermarket segment. The Company is the fastest growing proximity supermarket network in Poland (measured by the CAGR of the number of stores in 2010-2015, source: Roland Berger) and one of the fastest growing networks (measured by the number of stores and revenues) in the overall retail grocery market in Poland.

Dino's business model combines the advantages of the proximity format (i.e. medium-sized stores in convenient locations, in most cases close to places of residence or featuring much more traffic) with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 31 March 2017, Dino's network consisted of 639 stores located predominantly in western Poland with a total selling area of 242,698 square meters. The Dino Group has many years of experience and a proven capacity to open new stores using its own properties, enabling it to grow its number of stores by 315 in the period from the beginning of 2014 to 31 March 2017. Its network expansion has been accompanied by significant (LFL) sales growth in its existing store network, which in Q1 2017 stood at 12.6%, compared to the corresponding period of last year. In Q1 2016 it was 8.4% and 11.3% in full year 2016. The Dino Group continues to develop its network, consistently looking for new sites for its stores. In accordance with the Dino Group's strategy, the Management Board plans to exceed 1,200 stores by the end of 2020.

Dino stores are characterized by their uniform format. Most stores have a sales area of approx. 400 square meters and are located primarily in smaller communities, small and medium-sized towns and in the peripheries of big cities. Dino's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). Ownership of most land and construction of own stores allow the Dino Group to implement a uniform store format and make it possible to open stores quickly in new locations, where the availability of suitable space for lease is limited.

Each store offers its customers approx. 5,000 stock keeping units (SKUs), mostly well-known branded products with emphasis placed on its fresh product offering. The Dino Group offers key products at competitive prices. One of the most important attributes that differentiate Dino from discount networks is that every store has a meat counter with counter staff.

Dino Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on 3 distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers consistently enhance the Dino Group's profitability.

The Dino Group strategy assumes further growth through focus on three key areas:

- continuation of the fast organic growth in the number of stores – Dino plans to exceed the number of 1,200 stores by the end of 2020. The Dino Group plans to continue its strategy of keeping the ownership of most of the real properties on which the stores are located and use the opportunities for organic network growth in the current form by: (i) increasing the density of stores in the current areas of its operation, and (ii) expanding gradually to the Northern and Eastern parts of Poland.
- continuation of the sales revenues growth on the like-for-like (LFL) basis – in order to continue the improvement in sales revenues on the like-for-like basis, the Dino Group will take measures to increase the number of customers shopping at Dino stores and the value of goods purchased per customer.
- consistent profitability increase – in 2014-2016, the Dino Group achieved a persistent improvement of the gross sales margin and the EBITDA margin. The goal is to continue the improvement in profitability

by increasing the scale of business, through positive features of the business model and strategic initiatives undertaken by the Dino Group.

2.2. Recap of the Dino Group's operations in Q1 2017

In Q1 2017, the Dino Group's revenues totaled PLN 910.3 million and were PLN 203 million, i.e. 28.7%, higher than in Q1 2016. At the same time, the cost of sales increased 28.1% to PLN 701.7 million, as a result of which the gross sales margin was 22.9%, i.e. 0.3 percentage points above Q1 2016. EBITDA¹ rose 29.0% to PLN 68.5 million yoy. EBITDA margin was 7.5%, i.e. at the same level as in Q1 2016.

The following table presents selected consolidated profit and loss account line items²

(PLN 000s)	Q1 2017	Q1 2016	Change
Sales revenues	910,335	707,363	28.7%
Cost of sales	(701,744)	(547,725)	28.1%
Gross sales profit	208,591	159,638	30.7%
Other operating revenues.....	476	1,022	-53.4%
Sales and marketing costs.....	(149,746)	(113,285)	32.2%
Overhead	(12 903)	(8,603)	50.0%
Other operating expenses	(96)	(194)	-50.5%
Operating profit	46,322	38,578	20.1%
Financial income	98	34	188.2%
Financial expenses	(8,415)	(7,769)	8.3%
Profit before tax	38,005	30,843	23.2%
Income tax.....	(7,550)	(7,456)	1.3%
Net profit	30,455	23,387	30.2%

Sales revenues

Significant topline improvement is driven by the Dino store network's rollout by adding new stores and growing revenues in the existing store network (like for like, LfL)³. LfL sales growth in Q1 2017 was 12.6%, compared to the corresponding period of 2016, while in Q1 2016 it was 8.4%.

The following table presents a comparison of the inflation trends in Poland and topline LFL growth in Dino's existing store network.

%	Q1 2017	Q1 2016	2016	2015	2014	2013	2012	2011	2010
Inflation (deflation)	2.0	(0.9)	(0.6)	(0.9)	0.0	0.9	3.7	4.3	2.6
Food price inflation	3.4	0.4	0.8	(1.7)	(0.9)	2.0	4.3	5.4	2.7
Dino's LFL	12.6	8.4	11.3	5.1	4.2	7.5	14.1	16.6	15.5

Fresh products, including meat, cold cuts and poultry, accounted for 37.3% of the Group's sales in Q1 2017, i.e. they were at the same level as in Q1 2016.

¹ EBITDA, net of the non-recurring costs associated with the Company's IPO totaling PLN 2.96 million

² the Q1 2017 data have not been adjusted for one-offs related to the public offering, i.e. the costs of the offering and of the incentive program related to the offering in the total amount of PLN 2.96 million

³ stores are included in the calculation of LfL revenues starting from the 13th month of their existence

The following table presents the sales mix by product in the stated periods.

%	Q1 2017	Q1 2016
Fresh products	37.3	37.3
Dry grocery products, beverages, alcohol and cigarettes	50.0	50.3
Non-grocery products	12.7	12.4

Development of Dino's store network

In Q1 2017 the Dino Group was more advanced in the new store construction process than in the corresponding period of 2016. At the end of the Q1 2017 the Group had secured 389 locations for further development. 121 plots were bought (101 at the end of Q1 2016), out of which construction was under way on 58 plots (on 46 plots in Q1 2016). In the case of another 268 plots, the Dino Group had signed preliminary purchase agreements (209 at the end of March 2016).

The following table presents the number of plots secured for the Dino network's store rollout and the number of new store openings.

	As at		
	31 March 2017	31 December 2016	31 March 2016
Plots purchased	121	90	101
including constructions under way	58	40	46
preliminary agreements	268	248	209
Total:	389	338	310
Number of new store openings in the quarter	11	44	18

Considering weather conditions limiting construction work, the first quarter of every year has a lower number of store openings than in other quarters, in particular Q3 and Q4. In Q1 2017, Dino opened 11 new stores as a result of the air temperature being lower than in Q1 2016 when 18 stores were built. The Management Board believes that the lower increase in store openings in Q1 2017 as compared to Q1 2016 will not affect the Company's internal opening plans for the entire 2017 or the achievement of its strategic goals, which include exceeding 1200 stores by the end of 2020. As at 31 March 2017, the Dino network consisted of 639 stores.

The following table presents information on the Dino Group's number of stores as at specified dates.

	Number of stores as at 31 March	Number of stores as at 31 December		
	2017	2016	2015	2014
Own stores	532	522	406	317
Leased stores	94	94	94	83
Franchise stores	13	12	11	10
Total number of stores	639	628	511	410

Own cost of sales

Own cost of sales constituted 77.1% and 77.4% of sales revenues in Q1 2017 and 2016, respectively. Own costs of sales rose PLN 154.0 million, or 28.1%, from PLN 547.7 million in Q1 2016 to PLN 701.7 million in Q1 2017, compared with a 28.7% increase of sales revenues. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group network and rising sales in the existing store network (LFL).

Sales and marketing costs

Sales and marketing costs increased by PLN 36.5 million, or 32.2%, to PLN 149.7 million in Q1 2017 compared to PLN 111.3 million in Q1 2016. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

Overhead costs

Overhead costs increased by PLN 1.3 million (after taking out one-off costs of PLN 2.961 million associated with Dino's IPO), or 15.6%, to PLN 9.9 million in Q1 2017 compared to PLN 8.6 million in Q1 2016. This was caused mainly by the expansion of the Dino Group's network (some administrative functions expanded in line with the Dino Group network's rollout).

Costs by nature

The following table presents costs by nature⁴

(PLN 000s)	Q1 2017	Q1 2016	Change
Depreciation and amortization	19,176	14,493	32.3%
Materials and energy used	90,054	71,491	26.0%
External services	36,039	28,399	26.9%
Taxes and fees	5,673	4,461	27.2%
Cost of employee benefits	100,519	74,024	35.8%
Other costs	3,242	3,736	-13.2%
Cost of merchandise and materials sold	609,459	474,904	28.3%
Total costs by nature, including:	864,162	671,508	28.7%
Items captured in own cost of sales	701,744	547,725	28.1%
Items captured in sales and marketing costs	149,746	113,285	32.2%
Items captured in overhead costs	9,942	8,603	15.6%
Movement in products	2,730	1,895	44.1%

Total costs by nature, net of non-recurring costs associated with the Company's IPO of PLN 2.961 million, increased by PLN 192.7 million, or 28.7%, to PLN 864.2 million in Q1 2017, compared to PLN 671.5 million in Q1 2016, mainly as a result of increase in: (i) cost of merchandise and materials sold (by PLN 134.6 million), (ii) costs of employee benefits (by PLN 26.5 million), (iii) consumption of materials and energy (by PLN 18.6 million) and (iv) external services (by PLN 7.6 million). This growth was caused mainly by the expansion of the Dino Group's store network and rising sales in the existing network (LFL).

Cost of employee benefits, net of non-recurring costs associated with the Company's IPO of PLN 1.948 million, increased by PLN 26.5 million, or 35.8%, to PLN 100.5 million in Q1 2017 compared to PLN 74.0 million in Q1 2016. This growth resulted primarily from the higher number of Dino Group employees from 8,816 as at 31 March 2016 to 10,681 as at 31 March 2017 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising sales in the existing chain (LFL) and, to a lesser extent, from the higher average salary in the Dino Group and minimum wage hike at the beginning of 2017 (from PLN 1,850 to PLN 2,000).

Consumption of materials and energy increased by PLN 18.6 million, or 26.0%, to PLN 90.1 million in Q1 2017 compared to PLN 71.5 million in Q1 2016. This growth was caused mainly by higher consumption of materials

⁴ the Q1 2017 data have been adjusted for one-offs related to the public offering, i.e. PLN 998 thousand included in third party services, PLN 15 thousand posted to other costs by nature and PLN 1,948 thousand captured in costs of employee benefits

and raw materials in connection with the Dino Group's expanding business size and the expansion of the Dino Group's store network and rising sales in the existing chain (LFL).

External services, involving in particular transportation services, lease and tenancy services, and maintenance services, net of non-recurring costs associated with the Company's IPO of PLN 998 thousand, rose PLN 7.6 million, or 26.9%, to PLN 36.1 million in Q1 2017 compared to PLN 28.4 million in Q1 2016. This growth was caused mainly by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising sales in the existing chain (LFL).

Financial expenses

Dino Group's financial expenses increased by PLN 0.6 million, or 8.3%, to PLN 8.4 million in Q1 2017 compared to PLN 7.8 million in Q1 2016. The increase was driven mainly by the growth in interest on liabilities under lease agreements and trade liabilities as a result of the Group's growing business and the related expansion of the Dino Group's store network and rising sales in the existing chain (LFL).

Financial standing

Assets

(PLN 000s)	31 March 2017	31 Dec. 2016	31 March 2016	Change vs. 31 Dec. 2016	Change vs. 31 March 2016
Property, plant and equipment.....	1,386,389	1,337,207	1,090,826	3.7%	27.1%
Intangible assets	92,510	93,072	91,952	-0.6%	0.6%
Deferred tax assets.....	21,919	26,867	30,352	-18.4%	-27.8%
Total non-current assets.....	1,500,818	1,457,146	1,213,130	3.0%	23.7%
Inventory	290,707	276,541	221,320	5.1%	31.4%
Trade receivables and other receivables	19,155	33,665	9,382	-43.1%	104.2%
Income tax receivables	603	613	113	-1.6%	433.6%
Other non-financial assets	32,395	22,447	28,618	44.3%	13.2%
Cash and cash equivalents.....	36,425	66,428	13,818	-45.2%	163.6%
Total current assets	379,285	399,694	273,251	-5.1%	38.8%
TOTAL ASSETS.....	1,880,103	1,856,840	1,486,381	1.3%	26.5%

Total assets increased by PLN 23.3 million, i.e. 1.3%, from PLN 1,856.8 million as at 31 December 2016 to PLN 1,880.1 million as at 31 March 2017. Compared to 31 March 2016, total assets rose by PLN 393.8 million, or 26.5%.

In Q1 2017, the main total assets components were: (i) property, plant and equipment (constituting 73.7%), (ii) inventory (constituting 15.5%), (iii) intangible assets (constituting 4.9%) and (iv) cash and cash equivalents (constituting 1.9%).

Non-current assets increased by PLN 43.7 million, i.e. 3.0%, from PLN 1,457.1 million as at 31 December 2016 to PLN 1,500.8 million as at 31 March 2017. Compared to 31 March 2016, non-current assets rose by PLN 287.7 million, or 23.7%. In both cases this growth was caused mainly by higher property, plant and equipment which, in turn, was caused primarily by the Dino Group's network rollout (new Dino stores) and capital expenditures.

Current assets decreased by PLN 20.4 million, i.e. 5.1%, from PLN 399.7 million as at 31 December 2016 to PLN 379.3 million as at 31 March 2017. This decrease was caused lower cash and cash equivalents (by PLN 30 million) and decrease in trade receivables and other receivables by PLN 14.5 million (in connection with the calendar structure and seasonality of sales), which was partly offset by increasing inventory (by PLN 14.2 million) in connection with the increasing scale of operations of the Dino Group and other non-financial assets (by PLN 9.9 million).

Compared to 31 March 2016, current assets increased by PLN 106.0 million, i.e. 38.8% primarily as a result of higher: (i) inventory (up PLN 69.4 million) which was caused mainly by the Dino Group's expanding business size with the new store rollout and the new distribution center in Jastrowie (opened in July 2016), (ii) cash and cash equivalents (up PLN 22.6 million) and (iii) trade and other receivables (up PLN 9.8 million).

Liabilities and equity

<i>(PLN 000s)</i>	31 March 2017	31 Dec. 2016	31 March 2016	Change vs. 31 Dec. 2016	Change vs. 31 March 2016
Equity (attributable to the parent company shareholders)	713,962	683,476	555,653	4.5%	28.5%
Share capital.....	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital.....	790,168	510,720	510,720	54.7%	54.7%
Retained earnings.....	(86,010)	162,952	35,129	-	-
Total equity.....	713,962	683,476	555,653	4.5%	28.5%
 Interest-bearing loans and borrowings and liabilities under financial lease agreements.....	 487,167	 452,378	 370,010	 7.7%	 31.7%
Other liabilities.....	270	300	0	-10.0%	-
Reserves for employee benefits.....	1,115	1,115	758	0.0%	47.1%
Deferred income tax reserve.....	6,206	5,498	3,410	12.9%	82.0%
Accruals and deferred income.....	81	87	67	-6.9%	20.9%
Total non-current liabilities	494,839	459,378	374,245	7.7%	32.2%
 Trade and other payables.....	 531,859	 574,426	 367,473	 -7.4%	 44.7%
Current part of interest-bearing loans and borrowings and liabilities under financial lease agreements	112,531	110,173	178,255	2.1%	-36.9%
Income tax liabilities.....	4,241	10,268	7	-58.7%	-
Accruals and deferred income	14,831	13,227	10,676	12.1%	38.9%
Provisions for employee benefits and other provisions	7,840	5,892	72	33.1%	-
Total current liabilities	671,302	713,986	556,483	-6.0%	20.6%
Total liabilities.....	1,166,141	1,173,364	930,728	-0.6%	25.3%
TOTAL LIABILITIES AND EQUITY	1,880,103	1,856,840	1,486,381	1.3%	26.5%

As at 31 March 2017, the main components of liabilities were: (i) trade and other payables (current part) representing 45.6%; (ii) interest bearing loans, borrowings and liabilities under financial lease agreements (non-current portion) representing 41.8% of total liabilities and (iii) current part of interest-bearing loans and liabilities under financial lease agreements representing 9.6%.

Total liabilities decreased by PLN 7.2 million, or 0.6%, from PLN 1,173.4 million as at 31 December 2016 to PLN 1,166.1 million as at 31 March 2017.

Total liabilities increased by PLN 235.4 million, or 25.3%, from PLN 930.7 million as at 31 March 2016 to PLN 1,166.1 million as at 31 March 2017.

Non-current liabilities increased by PLN 35.5 million, or 7.7%, from PLN 459.4 million as at 31 December 2016 to PLN 494.8 million as at 31 March 2017, predominantly as a result of higher interest-bearing loans and borrowings and liabilities under financial lease agreements (by PLN 34.8 million) caused by the expansion of the Dino Group's store network.

Compared to 31 March 2016, non-current liabilities rose PLN 120.6 million, or 32.2%, due to the expansion of the Dino Group's store network and the construction of the new distribution center in Jastrowie which opened in July 2016 and related capital expenditures that required additional financing.

Current liabilities decreased by PLN 42.7 million, or 6.0%, from PLN 714.0 million as at 31 December 2016 to PLN 671.3 million, primarily as a result of a decrease in trade and other payables, which resulted from the calendar arrangement and seasonality of sales.

Compared to 31 March 2016, current liabilities increased by PLN 114.8 million, or 20.6%, driven predominantly by an increase in trade and other payables (by PLN 164.4 million mainly as a result of the expansion of the Dino Group's scale of business), which was partly counterbalanced by a decrease in current loans and borrowings (by PLN 65.7 million) as a result of the process of replacing short-term loans with long-term loans and improved trading terms.

Cash flow

(PLN 000s)	Q1 2017	Q1 2016
Net cash on operating activity	31,046	(5,491)
Net cash provided by (used in) investing activities	(82,878)	(84,152)
Net cash on financing activity	21,829	69,541

The Dino Group generated PLN 31.0 million in net cash from operating activities in Q1 2017. In Q1 2016, the corresponding flows were negative at PLN -5.5 million. The change vis-à-vis Q1 2016 was caused predominantly by a higher profit before tax (by PLN 7.2 million) and a lower decrease in liabilities (except for loans and borrowings) during Q1 2017 compared to Q1 2016.

The lower level of cash on financing activity in Q1 2017 (PLN 21.8 million) compared to PLN 69.5 million in Q1 2016 resulted from lower loan inflows.

2.3. Operating segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)	period from 1 January 2017 to 31 March 2017	period from 1 January 2016 to 31 March 2016
Revenues on sales of products and services	113,114	88,469
Revenues on sales of merchandise and materials	797,221	618,894
Total	910,335	707,363

2.4. Factors affecting Dino's business and financial performance

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business until the end of 2017:

- pace at which the Dino Group opens new stores and the accompanying capital expenditures,
- favorable macroeconomic situation in Poland, resulting in higher disposable income and consumer spending, and changes in the consumer price index,

- recent changes in the regulatory environment: minimum wage hike and the continuation of the Family 500+ government program that translates into additional disposable income for consumers,
- the Company's improved operating efficiency, benefits resulting from economies of scale and optimization of operating expenses; improved efficiency of logistics services provided to all stores,
- downward trend in unemployment coupled with an unstable and uncertain situation on the labor market in various regions of the country;

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

3. SHAREHOLDERS OF THE COMPANY AND SHARES HELD BY MANAGEMENT BOARD AND SUPERVISORY BOARD MEMBERS

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares. In March and April 2017, the IPO of Dino shares was held (in accordance with the prospectus approved by the Polish Financial Supervision Authority (KNF) on 17 March 2017), as a result of which the shareholder Polish Sigma Group S.à r.l. sold all the shares it held, representing 49% of the Company's share capital and 49% of the total number of votes at the Shareholder Meeting. The Company did not issue any new shares in the IPO.

Shareholding structure of Dino Polska S.A. as at the Report Date

Shareholder	Number of Shares and number of votes at the Shareholder Meeting	Percentage of the share capital and of the total number of votes at the Shareholder Meeting
Tomasz Biernacki	50,000,000	51.0%
Other shareholders	48,040,000	49.0%

As at the Report Date, to the Company's best knowledge, the only holder of Dino shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Supervisory Board.

At the Report Date, Szymon Piduch, President of the Management Board, holds 140,904 Shares acquired in the Company's IPO. At the Report Date, Michał Krauze holds 29,346 Shares acquired in the Company's IPO.

The following Supervisory Board members hold Dino Shares as at the Report Date: Tomasz Biernacki (Chairman of the Supervisory Board) – 50,000,000 shares; Eryk Bajer (Member of the Supervisory Board) – 5,822 shares.

On 20 March 2017, in connection with the IPO of Dino Shares, Mr. Tomasz Biernacki undertook to refrain from selling his Shares until the end of the period of 720 days from the date of the first listing of Dino Shares on the Warsaw Stock Exchange, which took place on 19 April 2017. Furthermore, the Company undertook to refrain from issuing and offering shares until the end of the period of 360 days from the date of the first listing of Dino Shares on the Warsaw Stock Exchange. In accordance with the provisions of the applicable incentive programs, those Members of the Company's Management Board who acquired Dino Shares in the performance of their obligation to acquire the Shares specified in these programs, are required to refrain from selling those Shares for a period of two years after their acquisition. The detailed provisions of the said obligations are described in the Company's prospectus, as approved by KNF on 17 March 2017.

4. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE DINO POLSKA S.A. GROUP

4.1. Condensed consolidated profit and loss account

for the period from 1 January 2017 to 31 March 2017 (PLN 000s)

	<i>period from 1 January 2017 to 31 March 2017</i>	<i>period from 1 January 2016 to 31 March 2016</i>
Sales revenues	910,335	707,363
Cost of sales	(701,744)	(547,725)
Gross profit on sales	208,591	159,638
Other operating income	476	1,022
Sales and marketing	(149,746)	(113,285)
Overhead costs	(12,903)	(8,603)
Other operating expenses	(96)	(194)
Operating profit	46,322	38,578
Financial income	98	34
Financial expenses	(8,415)	(7,769)
Profit before tax	38,005	30,843
Income tax	(7,550)	(7,456)
Net profit	30,455	23,387

4.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2017 to 31 March 2017 (PLN 000s)

	<i>period from 1 January 2017 to 31 March 2017</i>	<i>period from 1 January 2016 to 31 March 2016</i>
Net profit for the financial year	30,455	23,387
Actuarial gains/(losses) on defined benefit plans	38	38
Income tax on other comprehensive income	(7)	(7)
Other net comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	31	31
Other net comprehensive income	31	31
Comprehensive income in the reporting period	30,486	23,418

4.3. Condensed consolidated statement of financial position

as at 31 March 2017 (PLN 000s)

	31 March 2017	31 December 2016	31 March 2016
ASSETS			
Property, plant and equipment	1,386,389	1,337,207	1,090,826
Intangible assets	92,510	93,072	91,952
Deferred tax assets	21,919	26,867	30,352
Total non-current assets	1,500,818	1,457,146	1,213,130
Inventories	290,707	276,541	221,320
Trade and other receivables	19,155	33,665	9,382
Income tax receivables	603	613	113
Other non-financial assets	32,395	22,447	28,618
Cash and cash equivalents	36,425	66,428	13,818
Total current assets	379,285	399,694	273,251
Total assets	1,880,103	1,856,840	1,486,381
LIABILITIES AND EQUITY			
Equity (attributable to the parent company shareholders)	713,962	683,476	555,653
Share capital	9,804	9,804	9,804
Supplementary capital	790,168	510,720	510,720
Retained earnings	(86,010)	162,952	35,129
Non-controlling interests	-	-	-
Total equity	713,962	683,476	555,653
interest-bearing loans and borrowings and liabilities under financial lease agreements	487,167	452,378	370,010
Other liabilities	270	300	-
Reserves for employee benefits	1,115	1,115	758
Deferred income tax reserve	6,206	5,498	3,410
Accruals and deferred income	81	87	67
Total non-current liabilities	494,839	459,378	374,245
Trade and other payables	531,859	574,426	367,473
Current part of interest-bearing loans and borrowings and liabilities under financial lease agreements	112,531	110,173	178,255
Income tax liabilities	4,241	10,268	7
Accruals and deferred income	14,831	13,227	10,676
Provisions for employee benefits and other provisions	7,840	5,892	72
Total current liabilities	671,302	713,986	556,483
Total liabilities	1,166,141	1,173,364	930,728
Total liabilities and equity	1,880,103	1,856,840	1,486,381

4.4. Condensed consolidated cash flow statement

for the period from 1 January 2017 to 31 March 2017 (PLN 000s)

	<i>period from 1 January 2017 to 31 March 2017</i>	<i>period from 1 January 2016 to 31 March 2016</i>
Cash flow on operating activity		
Profit before tax	38,005	30,843
Adjustments for the following items:	(6,959)	(36,334)
Depreciation and amortization	19,176	14,492
(Profit)/loss on investing activity	21	(9)
Change in the balance of receivables	13,657	7,331
Change in the balance of inventory	(14,166)	(9,175)
Movement in liabilities, except for loans and borrowings	(23,678)	(49,114)
Interest income	(19)	-
Interest expenses	8,471	7,652
Change in the balance of prepayments, deferred income and accruals	(4,489)	(3,497)
Movement in provisions	1,948	-
Income tax paid	(7,918)	(4,052)
Others	38	38
Net cash provided by (used in) operating activities	31,046	(5,491)
Cash flow on investing activity		
Disposal of property, plant and equipment and intangible assets	79	648
Purchase of property, plant and equipment and intangible assets	(82,976)	(84,807)
Sale of other financial assets	-	-
Interest received	19	7
Net cash provided by (used in) investing activities	(82,878)	(84,152)
Cash flow on financing activity		
Liability payments under financial lease agreements	(9,760)	(9,464)
Proceeds from obtained loans/borrowings	57,489	98,814
Repayment of loans/borrowings	(17,430)	(12,150)
Interest paid	(8,470)	(7,659)
Net cash provided by (used in) financing activities	21,829	69,541
Increase in the net balance of cash and cash equivalents	(30,003)	(20,102)
Cash and cash equivalents at the beginning of the period	66,428	33,920
Cash at the end of the period	36,425	13,818

4.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2017 to 31 March 2017 (PLN 000s)

	<i>Attributable to the parent company shareholders</i>			
	<i>Share capital</i>	<i>Supplementary capital</i>	<i>Retained earnings</i>	<i>Total</i>
As at 1 January 2017	9,804	510,720	162,952	683,476
Net profit for 2017	-	-	30,455	30,455
Other net comprehensive income for 2017	-	-	31	31
<i>Comprehensive income for the year</i>	-	-	30,486	30,486
Distribution of the financial result for 2016	-	279,448	(279,448)	-
As at 31 March 2017	9,804	790,168	(86,010)	713,962
As at 1 January 2016	9,804	393,019	129,412	532,235
Net profit for 2016	-	-	151,210	151,210
Other net comprehensive income for 2016	-	-	31	31
<i>Comprehensive income for the year</i>	-	-	151,241	151,241
Distribution of the financial result for 2015	-	117,701	(117,701)	-
As at 31 December 2016	9,804	510,720	162,952	683,476
As at 1 January 2016	9,804	393,019	129,412	532,235
Net profit for 2016	-	-	23,387	23,387
Other net comprehensive income for 2016	-	-	31	31
<i>Comprehensive income for the year</i>	-	-	23,418	23,418
Distribution of the financial result for 2015	-	117,701	(117,701)	-
As at 31 March 2016	9,804	510,720	35,129	555,653

5. CONDENSED STANDALONE FINANCIAL STATEMENTS OF DINO POLSKA S.A.

5.1. Selected standalone financial data

	<i>PLN 000s</i>		<i>EUR 000s</i>	
	<i>period from 1 January 2017 to 31 March 2017</i>	<i>period from 1 January 2016 to 31 March 2016</i>	<i>period from 1 January 2017 to 31 March 2017</i>	<i>period from 1 January 2016 to 31 March 2016</i>
Sales revenues	910,357	704,224	212,251	161,671
Sales profit	19,414	15,479	4,526	3,554
Profit before tax	10,328	7,831	2,408	1,798
Net profit	8,481	6,343	1,977	1,456
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	0.09	0.06	0.02	0.01
Cash flow on operating activity	31,296	(7,293)	7,297	(1,674)
Cash flow on investing activity	(64,140)	(69,912)	(14,954)	(16,050)
Cash flow on financing activity	6,193	62,504	1,444	14,349
Increase in the net balance of cash and cash equivalents	(26,651)	(14,701)	(6,214)	(3,375)

In the case of data in EUR, the average EUR/PLN exchange rate in the period, as published by the National Bank of Poland, was used:

average NBP exchange rates for Q1 2017:	4.2891 PLN / EUR
average NBP exchange rates for Q1 2016:	4.3559 PLN / EUR

	<i>PLN 000s</i>		<i>EUR 000s</i>	
	<i>as at 31 March 2017</i>	<i>as at 31 December 2016</i>	<i>as at 31 March 2017</i>	<i>as at 31 December 2016</i>
Total assets	1,735,377	1,722,477	411,246	389,348
Total non-current assets	1,278,200	1,237,533	302,905	279,732
Total current assets	457,177	484,944	108,341	109,617
Equity	566,635	558,154	134,280	126,165
Share capital	9,804	9,804	2,323	2,216
Non-current liabilities	378,948	377,622	89,802	85,358
Current liabilities	749,738	755,462	177,671	170,764

In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

average NBP exchange rate as at 31 March 2017	4.2198 PLN / EUR
average NBP exchange rate as at 31 December 2016	4.4240 PLN / EUR

5.2. Condensed standalone profit and loss account

for the period from 1 January 2017 to 31 March 2017 (PLN 000s)

	<i>period from 1 January 2017 to 31 March 2017</i>	<i>period from 1 January 2016 to 31 March 2016</i>
A. Net sales revenues and equivalents, including:	910,357	704,224
I. Net revenues on sales of products	1,521	1,180
IV. Net revenues on sales of merchandise and materials	908,836	703,044
B. Operating expenses	890,943	688,745
I. Depreciation and amortization	13,378	9,385
II. Consumption of materials and energy	14,866	11,439
III. External services	65,627	53,781
IV. Taxes and fees	3,604	2,820
V. Payroll	76,611	56,469
VI. Social security and other benefits	16,299	12,121
VII. Other costs by nature	2,988	2,739
VIII. Cost of merchandise and materials sold	697,570	539,991
C. Sales profit / loss (A – B)	19,414	15,479
D. Other operating income	225	998
E. Other operating expenses	88	184
F. Operating profit (loss) (C+D-E)	19,551	16,293
G. Financial income	494	484
H. Financial expenses	9,717	8,946
I. Gross profit (loss) (F + G + H)	10,328	7,831
J. Income tax	1,847	1,488
L. Net profit (loss) (I – J – K)	8,481	6,343

5.3. Condensed standalone balance sheet

as at 31 March 2017 (PLN 000s)

	31 March 2017	31 December 2016	31 March 2016
A. Non-current assets	1,278,200	1,237,533	878,234
I. Intangible assets	9,925	10,439	9,477
II. Property, plant and equipment	504,593	456,604	267,258
1. Fixed assets	442,311	422,970	237,792
2. Fixed assets under construction	62,282	33,634	29,466
III. Long-term receivables	-	-	-
IV. Long-term investments	727,151	727,151	522,398
3. Long-term financial assets	727,151	727,151	522,398
V. Long-term prepayments and accruals	36,531	43,339	79,101
1. Deferred income tax assets	15,709	12,105	6,222
2. Other prepayments and accruals	20,822	31,234	72,879
B. Current assets	457,177	484,944	348,856
I. Inventories	279,811	270,798	218,760
II. Short-term receivables	39,604	49,827	18,923
1. Receivables from related entities	798	908	823
2. Receivables from entities to which the company has equity exposure	-	-	-
3. Receivables from other entities	38,806	48,919	18,100
III. Short-term investments	93,004	121,914	77,004
1. Short-term financial assets	93,004	121,914	77,004
a) in related entities	65,423	67,682	65,848
c) cash and other cash assets	27,581	54,232	11,156
IV. Short-term prepayments and accruals	44,758	42,405	34,169
Total assets	1,735,377	1,722,477	1,227,090

	31.03.2017	31.12.2016	31.03.2016
A. Equity	566,635	558,154	285,049
I. Share capital	9,804	9,804	9,804
II. Supplementary capital	-	-	-
III. Revaluation reserve (fund)	548,350	268,902	234,475
IV. Other reserve capital (fund)	-	-	-
V. Profit (loss) brought forward	-	-	34,427
VI. Net profit/(loss)	8,481	279,448	6,343
VII. Charges to net profit during the financial year (negative figure)	-	-	-
B. Liabilities and provisions for liabilities	1,168,742	1,164,323	942,041
I. Provisions for liabilities	26,723	19,323	8,826
1. Deferred income tax reserve	17,878	12,426	8,082
2. Provision for pension and similar benefits	8,845	6,897	744
II. Non-current liabilities	378,948	377,622	357,335
1. To related entities	-	-	-
2. To other entities in which the company has equity exposure	-	-	-
3. To other entities	378,948	377,622	357,335
III. Current liabilities	749,738	755,462	567,054
1. Liabilities to related entities	181,295	188,756	95,487
2. Liabilities to other entities in which the company has equity exposure	-	-	-
3. Liabilities to other entities	568,443	566,706	471,567
IV. Accruals and deferred income	13,333	11,916	8,826
Total liabilities and equity	1,735,377	1,722,477	1,227,090

5.4. Condensed standalone statement of cash flows

for the period from 1 January 2017 to 31 March 2017 (PLN 000s)

	<i>from 1 January 2017 to 31 March 2017</i>	<i>from 1 January 2016 to 31 March 2016</i>
A. Cash flows from operating activities		
I. Net profit/(loss)	8,481	6,343
II. Total adjustments	22,815	(13,636)
1. Depreciation and amortization	13,378	9,385
2. FX gains/ (losses)	-	-
3. Interest and profit sharing (dividends)	8,509	8,482
4. Profit/(loss) on investing activity	21	(96)
5. Movement in provisions	7,399	5
6. Change in the balance of inventory	(9,014)	(9,329)
7. Change in the balance of receivables	13,684	9,035
8. Movement in current liabilities, except for loans and advances	(17,036)	(42,728)
9. Change in the balance of prepayments, deferred income and accruals	5,874	11,610
III. Net cash flow on operating activity (I±II)	31,296	(7,293)
B. Cash flows from investing activities		
I. Inflows	11,004	3,074
1. Sale of intangible assets and property, plant and equipment	866	1,219
3. From financial assets, including:	10,138	1,855
a) in related entities	10,137	1,854
b) in other entities	1	1
- interest	1	1
II. Outflows	(75,144)	(72,986)
1. Purchase of intangible assets and property, plant and equipment	(67,744)	(35,065)
3. Towards financial assets, including:	(7,400)	(37,921)
a) in related entities	(7,400)	(37,921)
III. Net cash flow on investing activity (I-II)	(64,140)	(69,912)
C. Cash flows on financing activity		
I. Inflows	40,652	95,248
2. Loans and borrowings	40,652	95,248
II. Outflows	(34,459)	(32,744)
4. Repayment of loans and borrowings	(16,033)	(15,194)
7. Payments of liabilities under financial lease agreements	(8,723)	(8,635)
8. Interest	(8,193)	(7,443)
9. Other financial expenditures	(1,510)	(1,472)
III. Net cash flow on financing activities (I-II)	6,193	62,504
D. Total net cash flow (A.III±B.III±C.III)	(26,651)	(14,701)
E. Balance sheet movement in cash, including	(26,651)	(14,701)
- movement in cash on account of foreign exchange gains	-	-
F. Cash at the beginning of the period	54,232	25,857
G. Cash at the end of the period (F±D), including	27,581	11,156
- restricted cash	-	-

5.5. Condensed standalone statement of changes in equity

for the period from 1 January 2017 to 31 March 2017 (PLN 000s)

	<i>from 1 January 2017 to 31 March 2017</i>	<i>from 1 January 2016 to 31 December 2016</i>	<i>from 1 January 2016 to 31 March 2016</i>
I. Equity at the beginning of the period (OB)	558,154	278,706	278,706
I.a. Equity at the beginning of the period (OB), adjusted	558,154	278,706	278,706
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Changes to share capital	-	-	-
a) increase	-	-	-
b) decrease	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	268,902	234,475	234,475
2.1. Changes to supplementary capital	279,448	34,427	-
a) increase	279,448	34,427	-
- profit distribution	279,448	34,427	-
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	548,350	268,902	234,475
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
a) increase	-	-	-
b) decrease	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
a) increase	-	-	-
b) decrease	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	279,448	34,427	34,427
5.1. Profit carried forward at the beginning of the period	279,448	34,427	34,427
5.2. Profit carried forward at the beginning of the period, adjusted	279,448	34,427	34,427
a) increase	-	-	-
b) decrease	(279,448)	(34,427)	-
- distribution of profits brought forward	(279,448)	(34,427)	-
5.3. Profit brought forward at the end of the period	-	-	34,427
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
a) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	-	-	34,427
6. Net profit	8,481	279,448	6,343
a) Net profit	8,481	279,448	6,343
b) Net loss	-	-	-
c) Charges to profits	-	-	-
II. Equity at the end of the period (CB)	566,635	558,154	285,049
III. Equity after considering the proposed distribution of profits (coverage of losses)	566,635	558,154	285,049

6. NOTES TO THE FINANCIAL STATEMENTS

6.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements (unaudited) were prepared in accordance with:

- International Accounting Standard 34 Interim Financial Reporting and International Financial Reporting Standards (hereinafter “IFRS”) published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2016.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation) and companies Viterna Holdings Ltd. and Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych, which are currently being liquidated.

The interim (condensed) consolidated financial statements for the period from 1 January 2017 to 31 March 2017 were prepared in Polish zloty, rounded to the thousand of zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements (unaudited) were prepared in accordance with:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2016.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

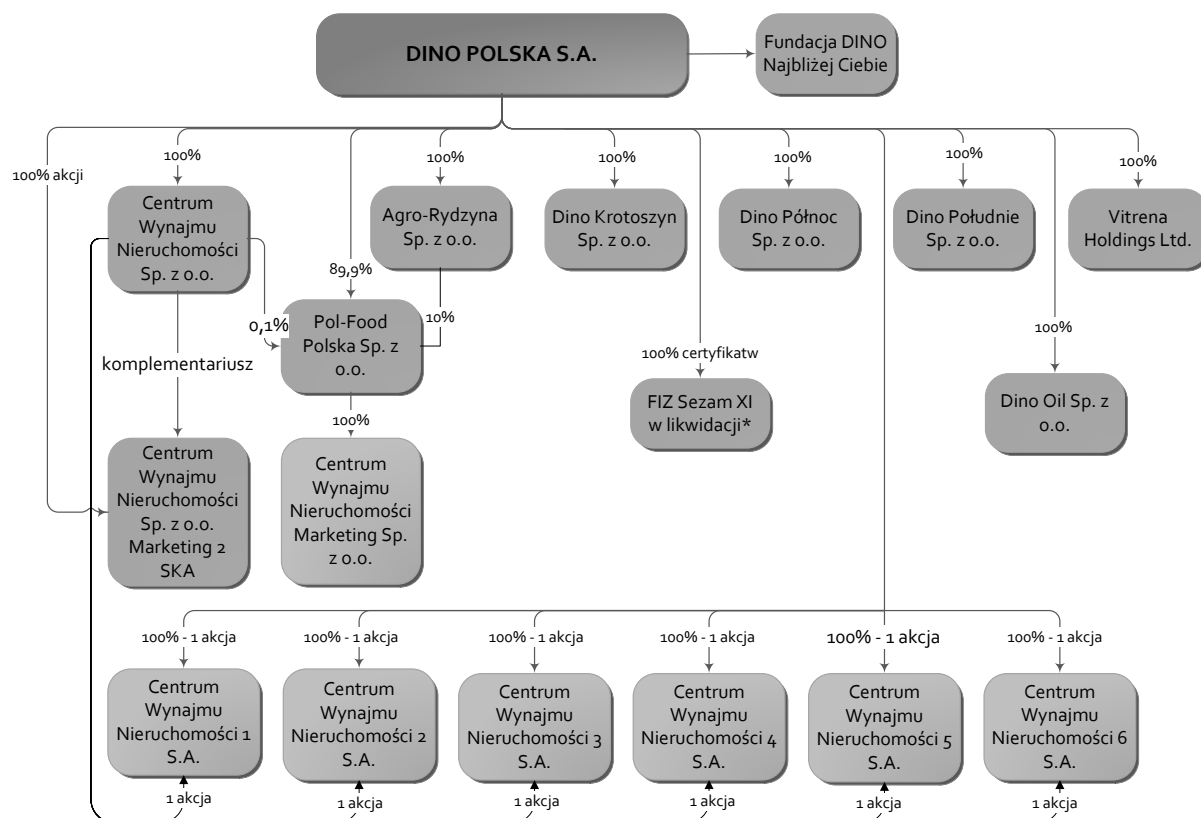
The interim (condensed) standalone financial statements for the period from 1 January 2017 to 31 March 2017 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

6.2. Group Overview

The Company is the parent entity of the Dino Group. The company conducts its operating activity involving the management of the Dino store network. The Company manages, among others, the logistics of supply of products to the stores, sales, selection of the product offering in the stores and supports other Group Companies in the execution of investment processes related to the selection and purchase of land on which new stores will be built and also manages the new store construction process itself. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from other Group Companies that own the properties.

Within the Dino Group, there is a large number of companies conducting a property lease business. The functioning of companies purchasing and leasing properties in the Dino Group is a result of the accepted business model. The Dino Group has made a strategic decision to purchase the land on which its stores are located, among others in order to ensure quick organic growth in the number of stores, to maintain the uniform format of stores in all locations, development of the “Dino” brand image as perceived by customers and to increase cost efficiency.

The Group consists of Dino Polska S.A. and the following subsidiaries:



As at 31 March 2017 and at the Report Date, the Management Board consists of two members: Szymon Piduch, President of the Management Board and Michał Krauze, Member of the Management Board. In Q1 2017, no changes took place to its composition.

As of the Report Date, the Supervisory Board consists of six members. Compared to 31 March 2017, its composition has diminished by two persons – Michał Rusiecki and Michał Kędzia tendered resignations from their functions on 20 April 2017. In Q1 2017, no changes took place to its composition.

6.3. Seasonality and business cycles

Revenues and financial results posted in individual quarters reflect the seasonality of sales. The Group achieves higher revenues on sales in periods near the holidays and in the Summer. Additionally, Dino Group's revenues depend on the number of new stores being opened; in the winter periods, in particular in the first quarter of the year, because of the weather conditions restricting the possibility of conducting construction work, such number is lower than in the remaining quarters of the year, in particular than in the 3rd and 4th quarters.

6.4. Other information

Non-recurring amounts and events

In the period from 1 January 2017 to 31 March 2017, the performance of the Dino Group was affected by the costs related to the public offering of the Company's shares, which was effected at the threshold of March and April 2017. The total amount of those costs in Q1 2017 was PLN 2,961 and it was comprised of: costs and provision for costs related to the execution of the offering (PLN 998 thousand recognized as costs of third party services and PLN 15 thousand as other costs by nature) and a provision for the IPO-related incentive system detailed in the Company's prospectus approved by the KNF on 17 March 2017 (PLN 1,948 thousand in costs of employee benefits).

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data for the period from 1 January 2017 to 31 March 2017

(PLN 000s)	31.03.2017	change	31.12.2016
Revaluation charges for receivables	544	(2)	546

Unconsolidated financial data for the period from 1 January 2017 to 31 March 2017

(PLN 000s)	31.03.2017	change	31.12.2016
Revaluation charges for receivables	509	-	509

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data for the period from 1 January 2017 to 31 March 2017

(PLN 000s)	31.03.2017	change	31.12.2016
Deferred income tax reserve	6,206	708	5,498
Provision for pension and similar benefits	1,341	-	1,341
Benefits under the incentive program	7,614	1,948	5,666
	15,161	2,656	12,505

Unconsolidated financial data for the period from 1 January 2017 to 31 March 2017

(PLN 000s)	31.03.2017	Change	31.12.2016
Deferred income tax reserve	17,878	5,452	12,426
Provision for pension and similar benefits	1,231	-	1,231
Benefits under the incentive program	7,614	1,948	5,666
	26,723	7,400	19,323

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2017 to 31 March 2017

(PLN 000s)	31.03.2017	change	31.12.2016
Deferred income tax reserve	6,206	708	5,498
Deferred income tax asset	21,919	(4,948)	26,867
	28,125	(4,240)	32,365

Unconsolidated financial data
for the period from 1 January 2017 to 31 March 2017

(PLN 000s)	31.03.2017	change	31.12.2016
Deferred income tax reserve	17,878	5,452	12,426
Deferred income tax asset	15,709	3,604	12,105
	33,587	9,056	24,531

Material purchase and sale transactions of property, plant and equipment

In the presented period, material transactions to purchase property, plant and equipment included purchases related to the purchase of land and construction of new stores and expansion of warehouse space in Krotoszyn as well as the purchases related to store fit-outs. In Q1 2017, the Group incurred capital expenditures of approximately PLN 67 million, including fixed assets under construction (in Q1 2016 it was about PLN 80 million).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of land and construction services related to the ongoing rollout of the Dino Polska Group store network. The total figure was PLN 49,885 thousand. At the end of Q1 2016, they were PLN 39,525 thousand.

Material litigation-related settlements

No material litigation was launched in the period from 1 January 2017 to 31 March 2017. By the date of these financial statements, the litigation for damages related to the removal of physical defects in a purchased building and for damages for lost profit, which was mentioned in the 2016 consolidated financial statements, was already pending.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

The changes in the economic situation and business conditions had no material effect on the fair value of the Group's financial assets and financial liabilities.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and were concluded on the arm's length basis and for prices that were not different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

On 18 April 2017, the Management Board of the Warsaw Stock Exchange decided to introduce 98,040,000 series A Company shares with a par value of PLN 0.10 for stock exchange trading on the main floor under the ordinary procedure as of 19 April 2017.

Information on dividend paid (or declared), in total and per share, for common and preference shares

In the reporting period, the Parent Company did not pay declare or pay a dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

In the reporting period there were no changes in the contingent assets. At the end of the reporting period, the Group had contingent liabilities arising from the concluded preliminary land purchase agreements in the amount of PLN 108,574 thousand.

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

7. OTHER INFORMATION

Description of changes in the organization of the issuer's group

On 19 May 2016, the Extraordinary Shareholder Meeting of Centrum Wynajmu Nieruchomości Marketing sp. z o.o. (a Dino Group company) adopted a resolution to retire the company's shares and reduce its share capital from PLN 169,200.00 to PLN 5,000.00. This change was registered by the National Court Register on 17 February 2017.

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2017.

Proceedings pending before courts or other bodies appropriate for relevant proceedings

In the reporting period, the litigation cases were related mainly to employee matters, which the Management Board believes did not give rise to significant claims. Moreover, the Group was a plaintiff in a litigation for damages of PLN 529 thousand on account of the removal of physical defects in a purchased building and for damages for lost profit of PLN 1,695 thousand. As at the date of signing these financial statements, this case was still pending. The Management Board is not able to assess the final resolution and effects of the court's judgment, however it believes that the risk of a loss is low.

Information on related party transactions

No transactions covered by this item were concluded in the reporting period. Both the Parent Company and its subsidiaries enter into transactions on the arm's length basis.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

No events covered by this item occurred in the reporting period.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Szymon Piduch – President of the Management Board

Michał Krauze – Management Board Member

Krotoszyn, 23 May 2017